

Conclusion: Plan for Managing Your Retirement Risk

Professor Richard Thaler from the University of Chicago and Professor Shlomo Benartzi from UCLA have devoted a substantial part of their careers to studying the financial mistakes and monetary blunders that people make in their daily lives. Apparently even smart people are not immune. These two researchers are leaders in the nascent field of behavioral finance, which argues that consumers are not cold, calculating machines that optimize their decisions in a rigorous mathematical fashion, but instead they adopt simple general rules for financial decision making, which often leads them far astray.

One of the most egregious behavioral “sins” these two researchers have identified is the tendency of too many Americans to allocate too much of their 401(k) plan—and even their own investments—to company stock. Apparently, more than five million Americans have over 60% of their retirement savings invested in their own company stock. Note that this is well after the notorious cases of Enron or WorldCom, where employees discovered the ruinous risks of such a myopic strategy. Even more surprising, ongoing surveys and focus groups conducted with these same employees indicate that they simply do not view this behavior as problematic. They think it is normal and healthy to invest in “things they know” because they can keep an eye on their investments. This optimism stands in contrast to the fact there is absolutely no evidence that employees have any superior ability to out-guess the market or the experts regarding the performance of the stocks they hold and the companies they work for.

One of the main arguments in this book is that many of these five million Americans who are engaging in this risky practice might be